

Sample Trade

Michelle is an engineer. Over the years, she has developed a thick skin to take the ribbing from fellow college students in a male-dominated profession. Even after she graduated and ventured into the professional world, the ribbing continued. She is pretty, and the guys just wanted her attention. I saw this firsthand when I stopped by her office with a question. She was not there at the time, but her desk blotter had the scribbles of love notes from dozens of men. Of course, I added my own, but I digress.

If you were to give a Rubik's cube to Michelle, she would not try to solve it. She would take it apart to see how it was constructed. That kind of inquisitiveness coupled with her ability to solve tough problems in a distinctive way makes her special even among engineers. She is also an investor with the same qualities.

Michelle used a unique approach to take advantage of the situation shown in [Figure 47.4](#). “I owned the stock but worried about performance.” During the prior November-to-February period (not shown), she saw the stock form a double top. Price declined from a high of 24.13 to the low of 14.13 at the start of the measured move (B).

“I should have sold after the stock confirmed the double top. Instead, I rode the stock down and lost 41% of my gains. They're around here somewhere,” she spread her arms wide to encompass the office, “but I haven't found them yet.” She smiled and dimples appeared on her cheeks. “I'll do better next time.”

When the stock started its climb (B), she saw the increase in volume. The increase meant that the run would be an extended one, because there seemed to be enough enthusiasm to send price higher. “That was my hope, anyway. Could have been a wish, though.”